violate Section 370 of the Companies Act 1956, which dealt with loans, etc., to companies under the same management.

Despite Palkhivala's opposition, Ratan persisted. He persuaded JRD to call another special meeting on 24 October 1985 to discuss the issues relating to the mill. During this meeting, Palkhivala went a step further. He 'forcefully went on to advise that in his view no funds should be disbursed to Central India as he did not believe the Company could be rescued. He advocated that instead the Company should be allowed to go into liquidation'.

It was a new position that the legal luminary had taken. He had waded into the risky waters of passing judgement on the efficacy of the rehabilitation plan. His conclusion that the mill could not be saved was soon to stick out as the only negative assessment of the plan. Palkhivala was the sole senior functionary to object to the viability of the rehabilitation plan. All the other principal stakeholders supported the proposal. They included S.S. Nadkarni, chairman, Industrial Development Bank of India; D.N. Ghosh, chairman, State Bank of India; and B.G. Deshmukh, chief secretary, Maharashtra. Ratan went ahead and gave finishing touches to the rehabilitation plan, which was submitted to the Industrial Development Bank of India (IDBI) in November.

After the submission, Ratan doubled down on his efforts to hasten approvals for the rehabilitation programme, holding scores of meetings and addressing numerous letters to all those who could make a difference. They included several meetings with the government, IDBI and State Bank of India (SBI) officials. While awaiting the approval of the plan, he also shot off several letters to secure interim funds.

In March 1986, IDBI sanctioned a loan of Rs 3 crore. Ratan made several calls to SBI seeking 'desperately needed' additional funds as a last-ditch effort to keep the enterprise from turning turtle before the funds under the rehabilitation plan could be disbursed. But in the time lost in getting the approvals, the mill died gasping for the funds needed to keep its operations from stalling. The final nail in the coffin was driven by the wave of mill strikes led by Datta Samant in the 1980s.

The reason for Tata Sons' refusal to provide interim funds to the mill until the rehabilitation plan was approved was very disturbing for Ratan. He believes that the funds were deliberately withheld. Anguished, he sent a note to JRD in April 1986, lamenting the stance that Tata Sons had taken.